Land-Use Regulation, Municipal Infrastructure Financing, and Housing Supply and Affordability in Canada

Proposal Submitted to Canada Mortgage and Housing Corporation (CMHC)

1. Introduction and Purpose

Housing supply shortages and worsening affordability remain among Canada's most pressing public policy challenges. Municipal land-use regulations, planning and approval processes, and municipal infrastructure financing mechanisms—such as development charges and permit fees—play a critical role in shaping the cost, speed, and feasibility of new housing delivery. While these tools fall largely within municipal jurisdiction, they are enabled and constrained by provincial and territorial legislation and operate within Canada's system of fiscal federalism.

A central feature of Canadian municipal finance is the long-standing "growth pays for growth" approach, whereby new development is expected to fund a substantial share of growth-related infrastructure and services. While this model is intended to protect existing taxpayers, it may also contribute to higher development costs, slower project delivery, and reduced housing affordability. Policymakers at all orders of government are increasingly questioning whether current regulatory and financing models strike the right balance between accountability, fiscal sustainability and housing outcomes.

This research project builds on existing work by CMHC. For example, in 2022, CHMC conducted 10 virtual roundtables with key stakeholders (planners, developers, affordable housing professionals) to identify barriers to affordable housing in land use planning systems, and to identify potential solutions.[1] In 2025, CMHC published a review on the price impacts of development charges, and found that while new homebuyers bear the direct burden of development charges, spillover effects include increasing prices even for existing homes.[2] **The proposed research builds on both of these reports by deeply exploring where and how municipalities in Canada are overcoming these established barriers to creating affordable housing supply**.

The proposed research will broadly examine how land-use regulation and municipal infrastructure financing in Canada affect housing supply and affordability, explore the implications of the "growth pays for growth" model, and identify Canadian best and emerging practices that could support increased housing supply while remaining institutionally and fiscally realistic. The study is designed to inform federal, provincial, territorial, and municipal decision-making.

2. Research Questions

The project will address the following key research questions:

1) **As a country, are we comfortable with the implications of using a "growth pays for growth" approach in municipal development financing? And what are the alternatives?**

This includes exploring the origins of the approach in Canada, its implications for housing supply and affordability, and potential alternative models within Canada's intergovernmental context.

2) **What is the state of knowledge regarding the design of land-use regulation and municipal infrastructure financing in Canada to effectively facilitate increased housing supply and affordability for Canadians?**

   a) How do different types of land-use regulations observed across Canada impact housing supply and affordability?

   b) How do different types of municipal infrastructure financing mechanisms observed in Canada impact housing supply and affordability?

   c) What best practices in land-use regulation and municipal infrastructure financing can facilitate housing supply and affordability while supporting fiscally sustainable growth?

Across all questions, the research will consider:

- Differences between market and non-market housing
- Provincial and territorial enabling frameworks
- Variation across municipal size, geography, and governance structures
- Equity and inclusion considerations

The primary outcomes of interest are housing supply (including speed of delivery) and housing affordability. Notably, Questions 2a, 2b, and 2c will be answered within the context of the *state of knowledge existing in Canada*, rather than to empirically evaluate these questions on their own.

3. Conceptual and Analytical Framework

The project is grounded in an applied policy framework that links:

- Land-use regulation (e.g., planning policies, zoning, as-of-right development, approval timelines)

- Municipal infrastructure financing mechanisms (e.g., development charges, permit fees, and related tools)
- Developer costs, risk, and timelines
- Housing supply and affordability outcomes

The analysis situates municipal decision-making within Canada's system of fiscal federalism, recognizing municipalities as constitutionally subordinate to provinces and territories, with limited revenue tools and varying degrees of regulatory autonomy. This context is essential for understanding both the "growth pays for growth" approach and the constraints on reform.

To support comparative analysis, the study will make systematic use of CMHC's Municipal Land Use and Regulation Index,[3] which captures the relative degree of land-use regulation across Canadian cities. The Index provides a consistent, CMHC-developed metric that allows municipalities to be compared along a continuum of regulatory intensity, normalized relative to the Greater Toronto Area (GTA = 100). This Index will be used as an organizing tool for case selection and interpretation, not as a causal estimator.

4. Research Design and Methods

The project will be completed over ~ **10 months** using five integrated workstreams.

4.1 Advisory Team Engagement

We will establish a Research Project Advisory Team (hereafter, Advisory Team, see Appendix A for a list of anticipated members), comprising senior leaders from municipal government, provincial initiatives, industry, planning, and non-profit housing to provide strategic guidance throughout the project. The Advisory Team will:

- Validate emerging findings
- Identify promising and problematic practices
- Recommend key informants and municipalities for interviews
- Provide real-world policy and implementation perspectives

Engagement will occur at key project milestones (likely monthly meetings) rather than through intensive governance structures.

4.2 Scoping Literature Review

We will directly address Research Question 2 (What is the state of knowledge regarding the design of land-use regulation and municipal infrastructure financing in Canada to effectively facilitate increased housing supply and affordability for Canadians?) using a

structured scoping review.[4,5] We will synthesize Canadian academic literature published since 2000 on the extent to which and how 1) land use regulations and 2) municipal infrastructure financing impact new housing supply, housing affordability, and adequacy of community infrastructure and amenities.

Table 1 outlines the Scoping Review research question according to the PICOT criteria[6] (population, intervention, comparison, outcome, timeline). The PICOT criteria begin to define the inclusion and exclusion criteria for the scoping review.

Table 1: PICOT Criteria for Scoping Review

Criteria	Explanation
Population	Municipalities in Canada
Intervention	Land-use regulations and planning processes; municipal infrastructure financing mechanisms
Comparison	Comparing outcomes over time or between municipalities
Outcome	Housing affordability, housing supply, community infrastructure and amenities
Timeline	Published since 2000

The review will identify:

- Intergovernmental activities and provincial differences
- Common regulatory and financing typologies
- Evidence on impacts and trade-offs
- Municipal variability
- Differences between market and non-market housing
- Gaps in current knowledge

This workstream will establish the analytical foundation for subsequent empirical components.

4.3 Environmental Scan of Canadian Municipal Practices

An environmental scan will examine how municipalities across selected provinces are currently designing and implementing:

- Land-use regulation and planning tools (e.g., zoning as-of-right, missing middle policies, approval processes)
- Municipal infrastructure financing mechanisms (e.g., development charges, permitting fees)

We will not attempt a comprehensive scan across all Canadian municipalities. Instead, to explore differences and to set the stage for understanding *where and how* municipalities in Canada are overcoming established barriers to creating affordable housing supply, we will leverage CMHC's Municipal Land Use and Regulation Index[3] to:

- Classify municipalities along a spectrum of regulatory intensity
- Support transparent and consistent selection of municipalities across jurisdictions
- Inform the selection of municipalities for deeper qualitative analysis

The Index will be used in combination with contextual information (municipal size, growth pressures, governance structure, and provincial context) to ensure balanced and policy-relevant case selection. In addition, our team will ensure municipality inclusion from the following regions: British Columbia, Alberta, Ontario, Quebec, Nova Scotia, and selected Prairie municipalities for additional diversity.

The scan will rely on publicly available municipal plans, by-laws, policies, and official documentation. The objective is to map variation in approaches and identify emerging patterns, not to rank or score municipalities.

Results from the Environmental Scan will directly inform the selection of key informants in both sections 4.4 and 4.5.

4.4 Key Informant Interviews – Thought Leaders

Approximately 20 semi-structured interviews will be conducted with thought leaders from:

- Academia
- Industry
- Municipal, provincial, and territorial governments
- Non-profit housing organizations

Interviews will be semi-structured, one-on-one virtual interviews that will build on CMHC's existing work (e.g., the Barriers to Affordable Housing in Land Use Planning Systems Round Table Summary Report[1]) by structuring interview questions around the themes identified in the Summary Report and asking about emerging best practices in Canadian municipalities. The interviews will explore:

- The effectiveness and limitations of current regulatory and financing tools
- Experiences with and perspectives on "growth pays for growth", and whether this perspective still holds merit
- Intergovernmental dynamics and enabling conditions
- Emerging Canadian innovations and alternatives

The research team will obtain University of Waterloo's Research Ethics Board approval prior to undertaking key informant interviews described in sections 4.4 or 4.5.

4.5 Key Informant Interviews – Municipal Case Studies

A purposeful sample of approximately 35 participants from 7 municipalities will be selected for in-depth interviews. Selection will be informed by:

- Findings from the scoping literature review
- Environmental scan findings
- CMHC's Municipal Land Use and Regulation Index
- Advisory Team input
- Thought leader key informant interviews
- Collaboration with CMHC

The sample will reflect variation in region, municipal size, urban, rural, and Northern contexts, and regulatory intensity and financing approaches. We anticipate conducting several interviews within selected municipalities to obtain a variety of perspectives from within each municipality. For example, some triangulation between developers, Chief Financial Officers/Treasurers/Directors of Finance, planners', and non-profit housing providers is warranted to tell a complete story and identify complex interactions between land use regulations, municipal financing mechanism, and the outcomes of housing affordability and supply. We will start with an initial list of potential participants, and use snowball sampling[7] to identify additional participants within each municipality who could provide relevant information.

Interviews will focus on:

- Design and implementation of land-use and financing tools
- Observed impacts on housing supply and affordability
- Trade-offs, bottlenecks, and unintended consequences
- Transferability to other municipal contexts
- Implications for non-market housing providers

5. Equity, Inclusion, and Non-Market Housing

Equity and inclusion considerations will be integrated across all workstreams, with specific attention to the impact of regulatory and financing tools on non-profit and non-market housing developers, differential effects across regions and community types, and barriers faced by smaller municipalities and capacity-constrained actors.

6. Synthesis, Deliverables, and Knowledge Mobilization

Findings from all workstreams will be synthesized to address the core research questions, identify best practices and trade-offs, and highlight policy-relevant lessons for all orders of government.

Deliverables:

For CMHC, our team commits to the following deliverables:

- A final research report (maximum 40 pages), with a 2-3 page executive summary
- Interim briefings aligned with quarterly milestones

Given that the research team is comprised of academics, we also anticipate three peer-reviewed publications arising from this project (scoping review, key informant thought leader paper, key informant municipality paper). We welcome a conversation with CMHC to discuss CMHC staff interest in co-authorship (according to ICMJE standards[8]).

Final outputs will be provided in both official languages. CMHC will undertake translation, with an expert accuracy review conducted by the project team.

7. Project Team and Expertise

This team is comprised of four researchers from the University of Waterloo. Leia Minaker is Director of the Future Cities Institute founded by CAIVAN (FCI), and an associate professor in the School of Planning. As Director, she interacts regularly with provincial and municipal leaders, developers and builders, real estate associations, and non-profit leaders from across Canada. She has expertise in both qualitative and quantitative methods relevant to public policy, and has extensive experience with scoping reviews. Katherine Perrott is an Assistant Professor in the School of Planning, an FCI member and a Registered Professional Planner. [MORE ABOUT KP'S EXPERTISE: re: housing policy, municipal finance, planning, methods expertise, anything else of relevance]. Anna Esselment is Political Scientist and a specialist in Canadian politics, Canadian institutions, federalism and intergovernmental relations. [MORE ABOUT AE'S EXPERTISE]. Adrian Buttazzoni is a postdoctoral fellow in the School of Planning, with a PhD in planning and a focus on housing and health. Buttazzoni has published a number of scoping reviews and works closely with the FCI team.

An experienced Advisory Team (Appendix A) will complement the core team, ensuring the research remains grounded, credible, and policy-relevant.

8. Timeline and Budget

Timeline: January – November 2026

	January	February	March	April	May	June	July	August	September	October	November
4.1 Advisory Team Engagement											
Invite and confirm Advisory Team members											
Advisory Team Meetings		Mtg 1	Mtg 2	Mtg 3	Mtg 4	Mtg 5	Mtg 6	Mtg 7	Mtg 8	Mtg 9	Final Mtg
4.2 Scoping Literature Review: Academic literature											
Academic Literature Review											
4.3 Environmental Scan of Canadian Municipal Practices											
Environmental Scan											
4.4 Key informant interviews – Thought Leaders											
Ethics											
Recruitment											
Data Collection											
Data Analysis											
Synthesis and report writing											
4.5 Key informant interviews – Municipalities											
Ethics											
Recruitment											
Data Collection											
Data Analysis											
Synthesis and report writing											
Synthesis											
Synthesis of all workstreams and report writing											

Budget

Full cost of project: $127,500
Overhead of 15%: $22,500
Total Cost: $150,000

Tasks and Activities	Deliverables and Milestones	Timeline	Payment Schedule
4.1 Advisory Team Engagement			
Contractor to confirm advisory team members	Advisory Team members confirmed	By Feb 1	
Contractor to set up monthly advisory team meetings	Advisory Team meetings set	By Feb 15	
Contractor to lead monthly advisory team meetings	Monthly meeting organization and participations	Ongoing	
4.2 Scoping Literature Review			
Research Questions confirmed with CMHC	Confirmed Research Questions	By Feb 1	
Search strategy tested and refined	Completed search strategy	By Feb 6	
Relevant literature identified	Initial literature identified	By Feb 13	
Title and abstract review (stage 1)	Stage 1 review completed	By Feb 20	
Full text review (stage 2)	Stage 2 review completed	By March 6	
Data extraction	Data extracted	By March 20	
Results Synthesized and tested with Advisory Team	Results synthesis	By March 27	
Final Review Draft 1 completed	Review Draft 1 submitted to CMHC	By March 31	$42,500
Revisions in response to CMHC initial feedback			
Scoping review completed.	Final scoping review submitted to CMHC	By April 17	
4.3 Environmental Scan of Canadian Municipal Practices			
Environmental scan sample of municipalities identified using CMHC's Municipal Land Use and Regulation Index, other data (demographics, size, region,	Municipalities identified	By Feb 20	

etc.), and input from Advisory Team and CMHC			
Available municipal plans, by-laws, policies, and official documentation related to municipal infrastructure financing collected for each municipality	Data collected	By March 6	
Document data extraction according to land-use regulation and municipal infrastructure financing mechanisms of relevance	Data extracted	By March 27	
Data synthesized	Data synthesized	By April 10	
Synthesis table submitted to CMHC	Environmental scan synthesis table submitted to CMHC	By April 24	
4.4 Key informant interviews – Thought Leaders			
Ethics application submitted to University of Waterloo REB	Ethics application submitted	By March 6	
Potential participant list developed with guidance from Advisory Team and CMHC	Participant list developed	By March 30	
Participants invited to take part in interviews	Participant recruitment	By April 17	
All interviews scheduled and completed	Data collected	By May 29	
Qualitative data analyzed using the Framework Method[9]	Data analyzed	By June 26	
Project 4.4 synthesized and written up	Results report submitted to CMHC for feedback	By July 31	$42,500
4.5 Key informant interviews – Municipalities			
Ethics application submitted to University of Waterloo REB	Ethics application submitted	By May 29	
Potential participant list developed with guidance from Advisory Team, project 4.4 results, and CMHC	Participant list developed	By June 19	
Participants invited to take part in interviews	Participant recruitment	By July 31	
All interviews scheduled and completed	Data collected	By Sept 4	

Qualitative data analyzed using the Framework Method[9]	Data analyzed	By Oct 2	
Project 4.4 synthesized and written up	Results report submitted to CMHC for feedback	By Oct 30	
Synthesis			
Results from all workstreams synthesized into a 40 page report with a 2-3 page executive summary	Final report submitted	By November 15	$42,500

References

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2. Who Bears the Cost of Growth? A Review on the Price Impacts from Development Charges.

3. Approval Delays Linked with Lower Housing Affordability | CMHC [Internet]. [cited 2026 Jan 13]. Available from: https://www.cmhc-schl.gc.ca/observer/2023/approval-delays-linked-lower-housing-affordability

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9. Gale NK, Heath G, Cameron E, Rashid S, Redwood S. Using the framework method for the analysis of qualitative data in multi-disciplinary health research. BMC Med Res Methodol. 2013;13(1).

Appendix A: Initial list of Advisory Team members

Michael Brooks, CEO of REALPAC
Benjamin Dachis, Vice President of Research and Outreach, Clean Prosperity
Scott Higgins, President at HIP Developments
Ene Underwood, CEO, Habitat for Humanity, GTA
Lisa Helps, Executive Lead, BC Builds (former 2-term Mayor of Victoria, BC)
Karen Redman, Regional Chair, Region of Waterloo
Bill Williams, Senior Executive Director of Municipal Infrastructure and Planning at the City of Iqaluit.
Steve Willis, Senior Principal Planner, Stantec